

A Stock-Only Quality Strategy

Twenty businesses, no leverage, no funds,
no market timing

What survives when the toolkit is individual common stock

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Executive summary

This note supersedes two earlier drafts. The first paired the Buffett quality ranking with a 2× leveraged NASDAQ sleeve; the second removed the leverage. This one removes index funds as well, at the reader's instruction. What is left is a portfolio of individual companies, and the honest conclusion is that the removals cost real return while leaving a defensible strategy.

1. **The strategy is now a single rule.** Hold the top 20 companies by the 80/20 quality-value composite, equally weighted, capped at three names per industry, rebalanced each January. Nothing else: no leverage, no index or cash ETF, no timing overlay, and no defensive mode.
2. **Over 2013–2025 it returned 17.4% a year** (\$1 → \$8.1) against 14.7% for the S&P 500 total return and **14.7% for the portfolio's own time-weighted return.** It clears both of those bars.
3. **The discounted-cash-flow term has been removed from the ranking (§3).** It was measured against thirteen years of point-in-time rankings and found to be noise; cutting it, and the three further multiples that measured no better, raised the return from 16.3% to 17.4%, lifted the Sharpe from 0.95 to 1.05 and cut the worst drawdown from −24.3% to −21.5%.
4. **It still does not beat the NASDAQ-100 (19.7%),** though it is now close on risk-adjusted terms: Sharpe 1.05 against the NASDAQ's 1.15 and the S&P's 1.04. Without a second, differently behaved sleeve there is nothing to damp the swings.
5. **The trend filter had to go, and the measurement says it should have.** With no index fund to hold, the only surviving use of the signal was to move the *stock* book to cash. Tested, that returns 13.0% instead of 16.3% and deepens the worst drawdown to −27.9% from −24.3% (§4); both figures were measured on the ranking as it stood before the DCF was removed and have not been re-run, the conclusion not being close. It is kept in the app as a market-context indicator that no strategy acts on.
6. **Three alternatives are shipped alongside** for different appetites (§5), but they are variations on one idea. There is no longer a diversifying second engine, and the report is explicit about what that costs.

1 The bars to clear

Measured over 2013–2025, the window set by the point-in-time floor of the EDGAR fundamentals:

	CAGR	Volatility	Max drawdown	Sharpe
Buffett Quality 20	17.4%	16.5%	−21.5%	1.05
NASDAQ-100 (QQQ, TR)	19.7%	17.2%	−32.6%	1.15
S&P 500 (SPY, TR)	14.7%	14.2%	−23.9%	1.04
My portfolio (time-weighted)	14.7%	18.5%	−24.6%	0.80

Table 1: The strategy beats the S&P 500 on return and matches it on risk, and beats the portfolio on both. It still trails the NASDAQ-100 on return, though its worst drawdown is a third shallower. The portfolio's full-history TWR (2003–2025) is 18.1%/yr, which nothing in this note matches.

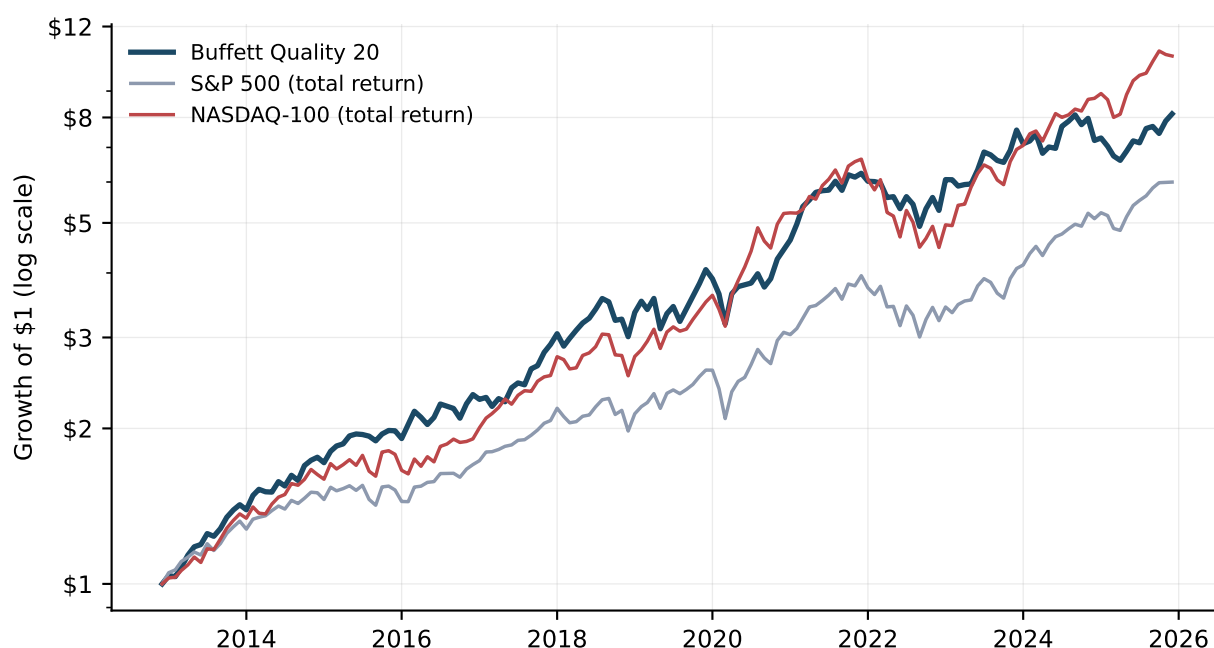


Figure 1: Growth of \$1, January 2013 – December 2025, month-end data, log scale. The strategy (blue) tracks the NASDAQ closely until 2020 and falls behind through the 2021–2025 mega-cap run.

2 The rule

Buffett Quality 20. Each January, rank every US-listed company with sufficient filing history on an 80/20 blend of business quality and valuation, scored point-in-time from SEC EDGAR. Buy the top 20, equally weighted at 5% each, taking no more than three names from any 2-digit industry group. Hold for the year. Sell nothing in between.

The constraints, all structural: no leverage, no margin, no index funds, no ETFs of any kind, no cash sleeve. The book is twenty companies and nothing else.

The industry cap is the one discretionary choice. Without it the ranking would currently hold six banks and three mortgage insurers — 45% of the book on one correlated balance-sheet risk, and in the exact cohort where the survivorship bias bites hardest, since post-2009 mortgage insurers

are the survivors of a sector that was largely destroyed. The cap costs 0.2 points of backtested CAGR (17.4% against 17.6%) and is the better trade in a live book.

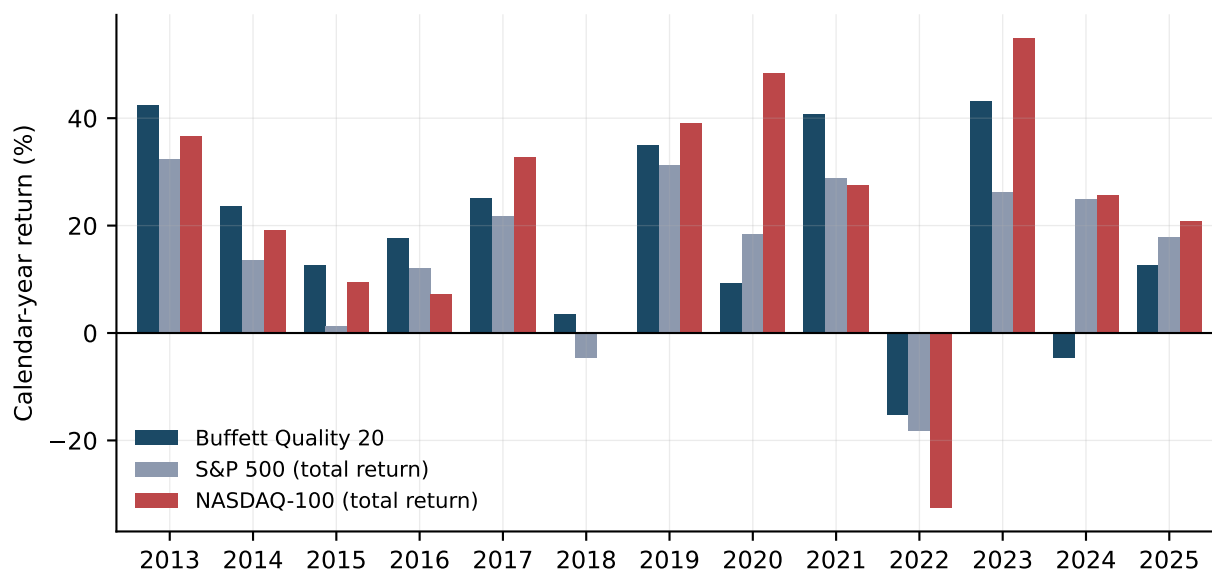


Figure 2: Calendar-year returns. Note 2022 (−15.3% against the NASDAQ’s −32.6%) and 2024 (−4.5% against +25.6%): the strategy is a genuinely different portfolio, which cuts both ways.

3 Why the DCF was removed

The value half of the ranking used to be led by a *margin of safety*: the gap between the price and a discounted-cash-flow valuation, taken at the 25th percentile of a Monte Carlo distribution so as to be conservative. It carried 35% of the value score. It is gone, and the case for removing it is a measurement rather than a preference.

Each signal in the ranking was scored by its information coefficient — the rank correlation between the signal and the *next* year’s total return, computed across the universe in each of the thirteen rebalance years. The margin of safety scored +1.7% with a *t*-statistic of 1.05 and a hit rate of 54%: indistinguishable from a coin. Worse, its sign was unstable, essentially zero over 2013–19 and positive only over 2020–25.

Three further facts settled it:

- **The valuations were not credible.** The median eligible company scored a margin of safety of −33% and the 10th percentile around −500%. The model was asserting that the typical listed business is worth a third of its market price, which is not a valuation but a broken one.
- **Ranking on it lost money relative to doing nothing.** Buying the top 20 companies by margin of safety alone compounded at 9.7% / yr against 12.25% for the average of the whole eligible universe.
- **It was mostly a noisy restatement of the earnings yield**, with which it correlated 0.58 — and the earnings yield is in the ranking already, costs nothing to compute, and measures three times better.

Buying the estimate from a data vendor was considered and rejected: published third-party DCFs show the same pathology, putting Amazon at \$72 against a \$231 price and Alphabet at

\$128 against \$334, and analyst consensus price targets correlate 0.972 with the current price, making them price in a hat rather than an independent check on it. The failure is in the model class, not in whose arithmetic runs it.

Removing the DCF made the remaining multiples measurable for the first time, and three of the five did not survive either. Price-to-book scored -1.4% , negative in *both* windows; EV/EBIT and price-to-sales scored around zero with unstable signs. Only the earnings yield ($+3.5\%$, positive in both windows) and the free-cash-flow yield were kept, weighted 60/40 — a ratio chosen from the middle of a broad 0.50–0.70 plateau rather than from the grid's best cell. Cutting the three weak multiples improved the Sharpe ratio, the drawdown and the held-out return in three of three strategy shapes tested.

The net effect on the default strategy: CAGR $16.3\% \rightarrow 17.4\%$, Sharpe $0.95 \rightarrow 1.05$, worst draw-down $-24.3\% \rightarrow -21.5\%$. The held-out window is the one figure that did not improve ($12.9\% \rightarrow 12.1\%$), and it remains the weakest part of the whole case.

The valuation models themselves are untouched and still power the per-stock screener and stock-detail views, where a reader is deliberately inspecting one company's assumptions. What changed is that a *cross-sectional ranking* no longer rests on them.

4 Why the trend filter was dropped

The two earlier drafts used a 10-month moving-average signal to decide whether to hold a NASDAQ position. With index funds excluded there is no such position, so the only remaining use was to sell the *stocks* when the market turned down and sit in cash. That was tested rather than assumed.

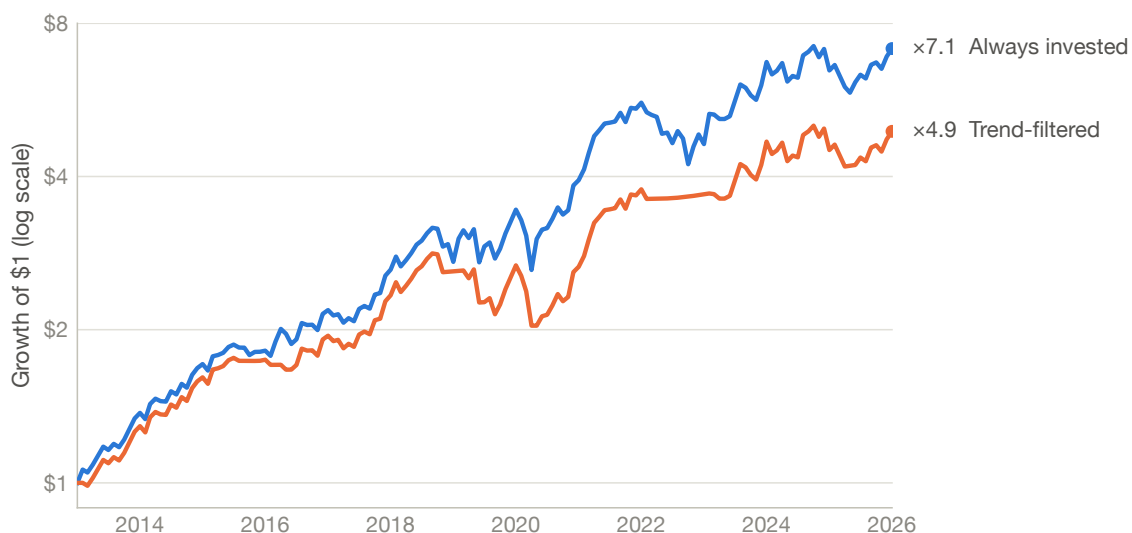


Figure 3: The same twenty-stock book, held through everything against gated by the market's 10-month trend. Filtering cost a third of the terminal value. Measured on the ranking as it stood before the DCF was removed (\$3); the gap is far too wide for that to change the verdict.

It helped in three years of thirteen (2015, 2018, 2022) and hurt in six, worst in 2019 (2.7% against 26.6%) and 2020 (-0.6% against 14.3%). The reason is a mismatch rather than bad luck: the signal describes the NASDAQ, while the book is twenty value-weighted businesses that correlate with it at 0.46. Timing one asset with a signal about another sells after declines the book did not share

2013–2025	CAGR	Max drawdown	Sharpe	Growth of \$1
Always invested	16.3%	–24.3%	0.95	\$7.1
Trend-filtered to cash	13.0%	–27.9%	0.91	\$4.9

Table 2: The filter loses on every measure at once — including the drawdown it was supposed to reduce.

and buys back after recoveries it already had.

The indicator is still in the app, on the dashboard, clearly labelled as market context. Its payload carries an explicit `advisory_only` flag, and no strategy reads it.

5 The variants

Four rules ship, all of them the same idea at different settings:

	CAGR	Max DD	Sharpe	Train 2013–19	Test 2020–25
Buffett Quality 20 (default)	17.4%	–21.5%	1.05	21.9%	12.1%
Quality 20, uncapped	17.6%	–20.0%	1.08	21.4%	13.0%
Quality 15	18.9%	–18.8%	1.11	21.3%	15.9%
Quality, price-blind (100% quality)	15.9%	–20.3%	1.07	20.0%	11.0%

Table 3: The uncapped list returns more but concentrates in financials; the 15-name book returns the same as the uncapped 20 with a deeper worst case; the price-blind variant is the steadiest but has the weakest held-out return.

Two findings constrain the choice and are worth not re-deriving. The quality weight improves results monotonically from 0% to 80% in both windows, but 100% (ignoring price entirely) degrades out of sample — which is why the price-blind variant, despite the best Sharpe, is not the default. And concentration is a plateau from roughly 10 to 20 names; below that the results become unstable.

6 Risks, stated plainly

- **Always fully invested.** There is no defensive mode. A market-wide fall is taken in full, and the 2022 drawdown of –21.5% is the worst *measured*, not a bound.
- **Weak out of sample.** The strategy returned 19.3% in the training window and 12.9% in the held-out one. That gap is the largest of anything in these three notes, and the earlier drafts used a second sleeve precisely to damp it. That option is now gone.
- **Survivorship bias, unhedged.** The universe is built from today’s listing files, so companies that were delisted, acquired or went bankrupt never appear as candidates. The benchmarks carry no such bias, so the 17.4% is flattered by an unknown amount and the true edge over the S&P is smaller than 1.5 points.
- **Twenty names is real single-stock risk.** One blow-up costs 5% of the book with no index diversification behind it.
- **Concentration by construction.** Even capped, the current list is 15% mortgage insurance, 15% banks and 15% homebuilders — 45% tied to the interest-rate cycle.

- **Taxes not modelled.** The January rebalance turns over roughly half the book and realises gains annually.

7 The portfolio, as of 29 July 2026

Sizing uses the portfolio's current market value of **\$1,779,662** (Investa, 28 July 2026 close), all of it in one sleeve. Every figure scales linearly.

From ranking run #11 (29 July 2026, 1,244 companies scored on filings through the June quarter — the first run under the DCF-free value score):

Symbol	Industry	Price	Shares	Cost	Weight
MTG (MGIC Investment)	Mortgage insurance	30.61	2,906	\$88,953	5.0%
UNTY (Unity Bancorp)	Banks	58.91	1,510	\$88,959	5.0%
RDN (Radian Group)	Mortgage insurance	39.51	2,252	\$88,977	5.0%
LULU (lululemon)	Apparel	119.19	746	\$88,919	5.0%
TSBK (Timberland Bancorp)	Banks	45.06	1,974	\$88,948	5.0%
ESNT (Essent Group)	Mortgage insurance	67.54	1,317	\$88,950	5.0%
BSVN (Bank7)	Banks	50.30	1,769	\$88,981	5.0%
INVA (Innoviva)	Pharma	21.81	4,080	\$88,964	5.0%
ADBE (Adobe)	Software	257.04	346	\$88,934	5.0%
NVR (NVR)	Homebuilders	6,459.99	13	\$83,980	4.7%
PHM (PulteGroup)	Homebuilders	133.66	665	\$88,884	5.0%
ACN (Accenture)	IT services	169.41	525	\$88,940	5.0%
GOOG (Alphabet C)	Software	332.57	267	\$88,796	5.0%
ZTS (Zoetis)	Pharma	78.81	1,129	\$88,976	5.0%
G (Genpact)	Consulting	35.91	2,477	\$88,949	5.0%
CPRT (Copart)	Auto auctions	30.81	2,888	\$88,979	5.0%
AGM (Farmer Mac)	Credit	213.45	416	\$88,795	5.0%
TOL (Toll Brothers)	Homebuilders	151.46	587	\$88,907	5.0%
DECK (Deckers)	Footwear	103.01	863	\$88,902	5.0%
XPEL (XPEL)	Auto films	44.33	2,007	\$88,980	5.0%

Table 4: The full book at 29 July 2026 quotes: \$1,773,675 invested, \$5,987 residual cash. Prices move, so share counts are indicative; the fixed part of the rule is the equal 5% weights.

8 The operating plan

Removing the trend sleeve removed the monthly routine with it. What remains is an annual rule and a short list of things not to do.

8.1 Today

1. Buy the twenty names in Table 4 at market, equal 5% weights.
2. Note the January rebalance anniversary. That is the only recurring task.

8.2 Every January

1. Open Investa's Strategies tab, or run `python scripts/buffett_live_picks.py --quality 0.8 --max-per-sector 3 --sector-digits 2` with the book's current value.

2. Sell the names that dropped out of the new top twenty; buy the entrants; trim or add the holdovers back to equal 5% weights. Historically about half the book turns over.
3. Do not carry opinions across the rebalance: a name that fell to #23 is sold even if it is loved, a name at #4 is bought even if it is boring. The ranking already encodes the thesis.

8.3 The rest of the year — what not to do

- **A holding crashes on news:** nothing. There are no stop-losses; single-name risk is what the twenty-way split and the January re-rank are for.
- **The market falls:** nothing. This is the consequence of having no defensive sleeve, and it was measured: the version that sold into cash did worse on return *and* drawdown.
- **The dashboard's market-trend card turns down:** nothing. It is context, not an instruction, and acting on it is the strategy §4 rejected.
- **A holding is acquired or delisted:** keep the proceeds as cash until January rather than replacing it mid-year.
- **Splits, spin-offs, special dividends:** hold what is received; true up at the next January.

8.4 What to expect — agreed in advance

- **Full participation in every market decline**, including the next one deeper than –24%.
- **Whole years of underperformance.** 2024 returned –3.7% while the NASDAQ made 25.6%. Two or three such years in a row are consistent with the strategy working.
- **An unfashionable book.** Mortgage insurers and micro-cap banks will rarely feel comfortable to own. They are there because fifteen years of filings say the businesses compound.

When to actually worry (reviewed each January): lagging the S&P 500 over three consecutive January-to-January years; the industry cap binding so hard that the book stops resembling the ranking; or a structural change in EDGAR coverage. Any of those triggers a re-run of the back-tests, not an improvised exit.

Reproduction: `buffett_strategy_search.py` and `buffett_live_picks.py` in `scripts/`, run from the repo root against cached data. The strategies are implemented in `src/strategies.py` and shipped in all three Investa clients.

Sources: SEC EDGAR XBRL point-in-time fundamentals (ranking run #4, 28 July 2026); Yahoo Finance prices; the Investa transaction database for the portfolio's time-weighted returns and current value. Past performance, simulated or realized, does not guarantee future results.